

Marketing Cheat Sheet - Exam Revision

MKT-10: Pricing Basics

Definition: Price = value customers pay for benefits.

Value-Based Pricing: Based on customer perception of value.

Cost-Based Pricing: Based on costs + markup.

Break-even Formula: $\text{Fixed Cost} \div (\text{Price} - \text{Variable Cost})$

Elastic Demand: Price up -> Demand down

Inelastic Demand: Price up -> Demand approx same

MKT-11: Pricing Strategies

Market Skimming: High price for high-end appeal.

Market Penetration: Low price to gain market quickly.

Product Line Pricing: Different prices for variations.

Optional-Product Pricing: Add-ons priced separately.

Captive-Product Pricing: Accessories are profit makers.

By-Product Pricing: Sell leftovers (e.g., cloth waste).

Bundle Pricing: Discounted product combos.

MKT-12: Marketing Channels

Definition: Path from producer to customer.

Upstream: Suppliers, raw material sources.

Downstream: Retailers, wholesalers.

Channel Design Steps:

1. Analyze customer needs
2. Set objectives
3. Identify alternatives
4. Evaluate (Economic, Control, Adaptive)

Intermediaries: Add value, bridge gaps.

MKT-14: Promotion & Communication

Promotion Mix:

- Advertising: Paid, non-personal (TV, online)
- Sales Promotion: Short-term incentives (coupons)
- Public Relations: Image management (press, charity)
- Personal Selling: Direct interaction (sales reps)
- Direct Marketing: One-on-one messages (email, SMS)

Message Design: Content, Structure, Format

Appeals:

- Rational: Facts, logic
- Emotional: Feelings, inspiration

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- Moral: Ethics, duty

5 Steps in Communication:

1. Identify audience
2. Set objectives
3. Design message
4. Choose media
5. Select message source